Data Science in Finance (DSF182) _SS1

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Part A: Startup Analysis

This section presents an analysis of Khula!, a South African agritech platform selected for its application of data-driven financing to smallholder farmers excluded from traditional credit markets. The following four sections examine the company's profile, the core problem it addresses, its competitive landscape, and its adoption of data science.

1. Startup Profile

Khula! is a Cape Town-based agritech platform that has built its business around connecting South African farmers to the inputs, markets, and financing they typically struggle to access. Most sources place its founding in 2016, crediting three co-founders, Karidas Tshintsholo (CEO), Matthew Piper (CPO), and Jackson Dyora with starting the company (Techpoint Africa, 2021). It is worth noting, however, that at least one more recent industry report lists 2018 as the founding year (TechBuild.africa, 2025), a discrepancy likely explained by the gap between Khula's early pilot phase and its formal registration or public launch. At a high level, the platform now operates as an ecosystem of three linked products: an Inputs App through which farmers procure supplies and services, a Trading Platform that connects them to formal buyers, and a funder dashboard that manages the financial side of these transactions (WeeTracker, 2025).

Khula's core financial function is a form of data-driven credit assessment. It converts a farmer's transaction and production history into a risk profile that makes them "fundable" to lenders who would otherwise have no basis to assess them, a genuine financial service, even though Khula does not sit neatly inside banking, insurance, or asset management, the three categories generally used to define the industry. It is better understood as fintech: a technology layer performing a financial function rather than a licensed institution in its own right. Absa Bank is the clearest example of this in practice; its Business Banking division describes itself as South Africa's largest agricultural financier and has invested directly in Khula on that basis, with Khula supplying the de-risking and credit-readiness data that supports that lending (WeeTracker, 2025; TechBuild.africa, 2025).

In terms of maturity, Khula sits at an early-growth stage. Having moved past its seed round, the company announced a Series A of roughly R126 million (about $6.8 million) in early 2025, backed by Absa, AECI, E Squared, and PepsiCo's Kgodiso Fund (TechBuild.africa, 2025). Reporting around the raise also referenced plans to extend the round further and expand into new markets, which is the clearest signal of a company positioned for the kind of further growth this report is meant to identify.

2. Core problem that Khula! seeks to solve

Smallholder and semi-commercial farmers in South Africa are structurally excluded from quality agricultural inputs, formal buyers and financing. On inputs, the Competition Commission's Fresh Produce Market Inquiry found that South Africa's heavy reliance on imported fertiliser, seed and agrochemicals keeps these costs disproportionately high, compounding the barriers already faced by small-scale and historically disadvantaged farmers (Competition Commission, 2025). The selling side provides further evidence: farmers without direct access to end buyers are forced to sell through wholesale aggregators, and the produce price increases by a minimum of 200% before it reaches the consumer; TechCabal cites a worked example of a farmer selling produce at R3.50 that a consumer later buys for R30, a markup of 1035% (TechCabal, 2021). Farmers who grow these products receive a negligible share of the margin. This exclusion extends to financing: in a study of 223 South African smallholder farmers, 95.1% did not own land that could be offered as bank collateral, and this lack of ownership was found to reduce the odds of securing credit by 41% (Jonas *et al.*, 2025).

Khula's ecosystem is built to address each of these three points rather than solve one in isolation. The Inputs App addresses the supplier-access problem by letting farmers procure inputs directly from vetted suppliers. The Fresh Produce Marketplace attacks the markup problem specifically, replacing the aggregator layer with a direct link to formal bulk buyers. The Funder Dashboard addresses the financing gap not by lending itself, but by converting a farmer's transaction history on the platform into the kind of data institutional funders need to extend credit effectively making informal farmers legible, and therefore fundable, to formal finance.

3. Competitors

Rather than facing a single primary competitor, Khula is subject to competitive convergence from multiple market directions. Two South African agritech platforms illustrate this convergence: each initially addressed a narrower dimension of the problem before expanding toward the comprehensive three-part framework established by Khula. HelloChoice, founded in 2018 by Grant Jacobs and Graeme Jarvie, began as a fresh produce trading marketplace connecting farmers directly to formal buyers, the same core mechanism as Khula's Fresh Produce Marketplace (Disrupt Africa, 2021). In 2021, Standard Bank acquired a 25% stake in the company, closely mirroring Absa's investment in Khula: another major South African bank backing an agritech marketplace as its channel into underserved farmer data (Harvest SA, 2022). HelloChoice has since moved beyond a pure marketplace, launching smallholder lending through farmer "wallets" and aggregated input procurement, following Khula's model rather than staying narrowly focused on trading (Bizcommunity, 2026).

SwiftVEE took the opposite route. Founded in 2019 as an online livestock trading platform, it has since built PrysWys, an agricultural inputs marketplace, alongside embedded digital credit provided through Nedbank (BusinessTech, 2025). Where HelloChoice arrived at inputs and financing from produce trading, SwiftVEE arrived there from livestock: different starting points converging on the same destination.

This convergence suggests Khula's ecosystem approach is not a unique insight but an emerging industry standard, meaning its advantage will depend on execution and scale rather than model novelty alone.

4. Adoption of data science

Khula's funder dashboard is, at its core, a data science application built around a single problem: most smallholder farmers cannot be assessed by traditional lending criteria, since, as established earlier, the overwhelming majority operate without land title or formal financial statements. Rather than relying on collateral or audited accounts, the dashboard

aggregates farmers' transaction and production history from the Inputs App and Fresh Produce Marketplace into a structured behavioural profile that lenders can act on, described in reporting on the platform as a tool that connects farmers with investors and provides access to low-interest loans through a standardised payment mechanism (Tech In Africa, 2026). While Khula has not publicly detailed the specific model or scoring architecture underlying this process, its funding announcements and reporting confirm the underlying function: converting informal trading activity into a de-risking signal that institutions such as Absa use as a basis for lending (WeeTracker, 2025; TechBuild.africa, 2025). This is precisely what makes Khula's core mission technically achievable rather than merely aspirational; without a data layer capable of substituting for collateral, there would be no mechanism through which excluded farmers could become "fundable" at all.

The clearest publicly confirmed example of Khula's data science capability sits elsewhere in the platform: an AI-powered crop-diagnosis feature launched in March 2025. Farmers photograph a diseased or damaged crop, such as a rotting tomato, and the app returns a diagnosis along with a recommended treatment, a process CEO Karidas Tshintsholo has described directly as working "through the models that we have trained" (Tech In Africa, 2026; African Farming, 2025). Although Khula has not disclosed the specific architecture, this is reasonably described as a form of computer-vision-based image classification, the general category of technique any photo-based diagnostic tool of this kind would require. Beyond its immediate agronomic value, this feature plausibly reinforces Khula's financial mission as well: healthier crops and fewer losses translate into steadier transaction volumes on the marketplace, strengthening exactly the kind of production history the funder dashboard depends on to build a credible risk profile. In this sense, Khula's two clearest data science applications are not disconnected features but two expressions of the same underlying strategy: using data, whether transactional or visual, to convert informal farming activity into something formal financial systems can recognise and act on.

Part B: SWOT Analysis

This section presents a SWOT analysis of Khula! across eight areas of finance relevant to data science. Each area is assessed against Khula's specific capabilities and constraints, with Strength/Weakness/Opportunity/Threat designations determined by whether the relevant factor lies within or outside the company's own control.

Area	SWOT designation	Description
Risk Analytics and Management	Strength	Risk analytics identifies and measures uncertainty across categories including credit risk, "a borrower may not meet an obligation," typically assessed using repayment and affordability data (STADIO, n.d., Topic 2, section 2.2). Khula's Funder Dashboard performs exactly this function for farmers who cannot be assessed by conventional means: 95.1% of smallholder farmers surveyed in one South African study had no land to offer as collateral (Jonas et al., 2025), making Khula's alternative-data approach a solution to a data-availability gap traditional credit risk models cannot address, not merely a faster version of one. This is internal, a capability Khula built and controls, making it a Strength. Note: no sourced evidence covers Khula's approach to operational or liquidity risk specifically, so this designation is scoped to credit risk only.
Customer Experience and Management	Weakness	Customer experience analytics links parts of a service journey (e.g. combining mobile-app errors with call-centre records) to find where customers repeat or abandon a process (STADIO, n.d., Topic 2, section 2.3;

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		Peddamukkula, 2023). Khula operates three separate touchpoints, the Inputs App, Marketplace, and Funder Dashboard, but no sourced evidence confirms these are linked into one traceable farmer journey. Building that connective layer is entirely Khula's own decision, making this an internal, plausible Weakness rather than a confirmed one. Given that smallholder farmers in comparable South African studies often face limited access to formal digital infrastructure (Jonas *et al.*, 2025), this gap may matter more for Khula's user base than for a typical digital-first fintech, though this specific connection to Khula's own farmers is inferential.
Consumer Analytics and Segmentation	Strength	Consumer analytics uses transaction, product and channel data to understand customer behaviour, with clustering as one common segmentation technique (STADIO, n.d., Topic 2, section 2.4; Aldridge & Avellaneda, 2021, Ch.9). Khula's Funder Dashboard already aggregates exactly this kind of data into structured farmer profiles used to assess fundability (Tech In Africa, 2026). This is a real, internally-controlled analytics capability that could support formal segmentation (e.g. by crop type or risk tier), even though no sourced evidence confirms a specific clustering technique is applied. As an internal, Khula-built capability with clear evidence of the underlying data infrastructure, this is a Strength, scoped to the data-aggregation

Area	SWOT designation	Description
		foundation rather than confirmed formal segmentation modelling.
Personalised Services and Pricing Automation	Threat	Personalisation adapts a service or price to an individual; POPIA section 71 specifically constrains decisions based solely on automated processing with legal or substantial consequences, requiring an explanation and human review route (STADIO, n.d., Topic 2, section 2.5; South Africa, 2013, s.71). Khula's Funder Dashboard produces an individualised fundability profile materially affecting a farmer's credit access; POPIA section 71(1) explicitly names "credit worthiness" among the categories of automated profiling it covers. Section 71(2)– (3) exempts such decisions only where the data subject can make representations and receives an explanation of the underlying logic, safeguards Khula has not been confirmed to have built. This is a Threat rather than a Weakness: the legal requirement exists regardless of Khula's own choices, and whether it has been satisfied remains an open external risk.
Fraud Detection	Weakness	Fraud detection combines rule-based checks and ML techniques to flag transactions deviating from expected patterns (Cao, 2023). For Khula, the relevant target is manipulation of marketplace transaction history, the exact data the Funder Dashboard converts into a fundability signal for lenders like Absa. This is internal, since building such controls is entirely within Khula's own

Area	SWOT designation	Description
		control. No sourced evidence confirms Khula has built this capability, so this is a plausible gap rather than a confirmed one. (FIC Act monitoring duties apply to "accountable institutions" like Absa, not necessarily Khula, so this is a business-risk weakness, not a compliance failure.)
Sentiment Analysis	Opportunity	Sentiment analysis applies NLP to estimate whether text expresses a positive, negative or neutral position, typically used alongside other data rather than as a standalone signal (STADIO, n.d., Topic 2, section 2.8). No sourced evidence indicates Khula currently analyses text from farmers, buyers or market commentary. An increasing volume of farmer-generated and market-related text exists independently of Khula, on social media, forums and agricultural news, and is not something Khula controls. Whether Khula builds NLP capability to draw on that external text is a strategic choice yet to be evidenced, making this an Opportunity: an unexploited external resource, not a confirmed internal capability gap.
Real-Time Analytics	Strength	Real-time analytics processes data quickly enough to influence the event it concerns: ingest, process, score, respond (STADIO, n.d., Topic 2, section 2.10). Khula's AI crop-diagnosis feature fits this directly: a farmer photographs a damaged crop and the app returns a diagnosis and treatment recommendation immediately,

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		described by CEO Karidas Tshintsholo as working through "models we have trained" (Tech In Africa, 2026; African Farming, 2025). This is a genuinely confirmed, internally built capability, making it a clear Strength. Scope note: this evidences real-time analytics for the diagnosis feature specifically; no sourced evidence confirms real-time scoring elsewhere, such as within the Funder Dashboard itself.
Predictive and Forecasting Analytics	Weakness	Predictive analytics estimates an unknown or future outcome; forecasting specifically concerns values indexed over time, such as cash flow or demand (STADIO, n.d., Topic 2, section 2.6; Hyndman & Athanasopoulos, 2021). Khula's Funder Dashboard already performs predictive analytics, estimating creditworthiness from transaction history, but this is a point-in-time classification, not a forecast over time. No sourced evidence indicates Khula produces genuine time-series forecasts, such as projected crop yields or farmer cash flow, which could plausibly strengthen both marketplace matching and financing risk assessment. Since building this is entirely within Khula's control, this is an internal Weakness: forecasting specifically remains an unevidenced gap.

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